1.) PCA : $X \longrightarrow \dfrac{X-\mu}{\sigma}$

Allcott & Kenniston (2018)

"1 std dev above the mean"

— When units are hard to define

2.) $$\begin{bmatrix} Y_{1t} \\ Y_{2t} \end{bmatrix} = \begin{bmatrix} \phi_{11} & 0 \\ \phi_{21} & \phi_{22} \end{bmatrix} \begin{bmatrix} Y_{1t-1} \\ Y_{2t-1} \end{bmatrix} + \begin{bmatrix} e_{1t} \\ e_{2t} \end{bmatrix}$$

ECON 582 Quiz Section 3

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Identification

- What IS identification? What is meant by the term?
- Any relation to math we're familiar with?
- Identification vs. Prediction?
- See Lewbel (2019) for more discussion re: identification

Zotero

def: "Identification"

Model parameters or features being uniquely determined from the observable pop. that generates the data

↑ Point Identification

- Systems of (Linear) Eqns:

l: # of eqns in instrument sys

K: # of eqns in main reg. system

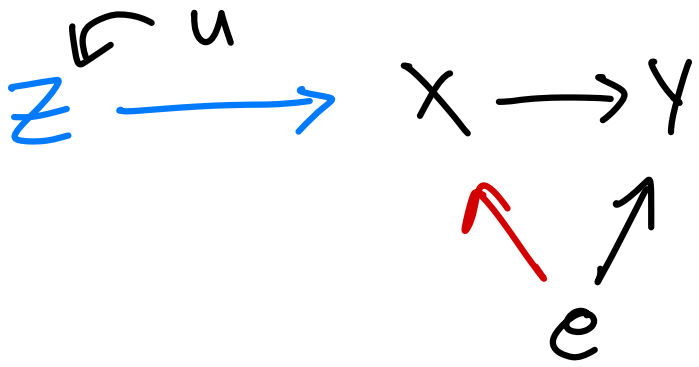
Eqns > # Unknowns : No Sol'n | Over determined

Eqns = # Unknowns : Unique Sol'n / Just Determined

Eqns < # Unknowns : Many Sol'ns / Under Determined

Instrumental Variables 1

- Causal Graph (+ ex.)



ex: Card (1995)

X = educ, Y = salary

e = ability, Z = grew up near a university

ex: Kanzig (2021)

X = Oil Prices Y = GDP

e = Global AD, Z = OPEC Announcements

Instrumental Variables 1

- Causal Graph (+ ex.)
- Structural Model for IV:
  Suppose we want to estimate the model

Y_z

$$Y = \beta_0 + X_1\beta_1 + X_2\beta_2 + e$$

... but $E(Xe) \neq 0$ (specifically $E(X_2 e) \neq 0$)
... BUT $\exists$ some Z s.t. $E(Ze) = 0$

⋆ We could make it work using *only* these moment conditions, but imposing more (correct) structure yields better information!

Instrumental Variables 2

- More structure:

$$Y = \beta_0 + X_1\beta_1 + X_2\beta_2 + e, \quad E(Xe) \neq 0$$
$$X_2 = \Gamma_0 + X_1\Gamma_1 + z\Gamma_2 + u, \quad E(Ze) = E(Zu) = 0$$

where $Z = \begin{pmatrix} X_1 \\ z \end{pmatrix} = \begin{pmatrix} Z_1 \\ Z_2 \end{pmatrix}$

$\dim(Z) = \dim(Z_1) + \dim(Z_2)$
$= \ell = \cancel{k}\ 3$
$\dim(X) = \dim(X_1) + \dim(X_2)$
$= k = \cancel{\ell} = 3$

- Necessary conditions:
  1. Relevance: $E(X_2 z) \neq 0$
  2. Excludability: $E(Ze) = 0$

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Instrumental Variables 3

- Navigating things:

$$Y_i = X_i'\beta + e_i, \quad E(Xe) \neq 0$$
$$X_i = \Gamma' Z_i + u_i, \quad E(Ze) = E(Zu) = 0$$

- ILS, IV, 2SLS???

In matrix form:

$$Y_i = X_i'\beta + e_i$$
$$X_i = \Gamma' z_i + u_i$$

$K\times 1 \quad K\times l \quad l\times 1 \quad K\times 1$

$$Y = (\Gamma' z_i + u_i)'\beta + e_i$$
$$= (z_i'\Gamma + u_i')\beta + e_i$$
$$= z_i'\Gamma\beta + u_i'\beta + e_i$$
$$\equiv z_i'\lambda + v_i$$

We have

$$\underset{1\times 1}{V} = \underset{1\times K}{u'}\underset{K\times 1}{\beta} + \underset{1\times 1}{e}$$
$$\underset{l\times 1}{\lambda} = \underset{l\times K}{\Gamma}\underset{K\times 1}{\beta}$$

We want β

$$\lambda = \Gamma\beta$$
$$\beta = \Gamma^{-1}\lambda$$

* Γ is $l\times K$ * $l = K$ is needed to invert Γ^{-1} (!)

Hence: $Y = X'\beta + \varepsilon = Z'\lambda + V = Z'(\Gamma\beta) + V$

& $\hat{\beta}_{FZS} = \hat{\Gamma}^{-1}\hat{\lambda} \xrightarrow{p} \beta$

where: $\hat{\Gamma} = (Z'Z)^{-1}Z'X \xrightarrow{p} \Gamma$

$\hat{\lambda} = (Z'Z)^{-1}Z'Y \xrightarrow{p} \lambda$

an alt route:

IV: $E(Z\varepsilon) = 0$

$E(Z(Y - X'\beta)) = 0$

$\vdots$

$\beta = E(Z'X)^{-1}E(Z'Y)$

$\hat{\beta}_{IV} = (Z'X)^{-1}(Z'Y)$

$\rightarrow$ still use $l = k$ for above to work (!)

* When $l > k$? "Over identified"

$\longrightarrow$ <u>No soln!</u> ⚠ Then how to use multiple instruments for endogenous X?

Recall: $Y_i = Z_i'\lambda + V_i$

where $\lambda = \Gamma\beta$

$X_i = \Gamma' Z_i + U_i$

$$\underset{1\times 1}{Y} = \underset{1\times l}{Z'}\,\underset{l\times k}{\Gamma}\,\underset{k\times 1}{\beta} + \underset{1\times 1}{V_i}$$

def: $\underset{l\times l}{W_i} = \underset{l\times 1}{Z_i}\,\underset{k\times l}{\Gamma}$

'invertible!'

$$Y_i = W_i\beta + V_i$$

then by OLS:

$$\hat{\beta}_{2SLS} = (W'W)^{-1}W'Y$$

$$= \left((Z'\Gamma)'(Z'\Gamma)\right)^{-1}(Z'\Gamma)'Y$$

$$= \underline{(\hat{\Gamma}'ZZ'\hat{\Gamma})^{-1}\hat{\Gamma}'ZY} = \hat{\beta}_{2SLS}$$

where: $\hat{\Gamma} = (Z'Z)^{-1}Z'X$

Instrumental Variables 4

- End of the day:
  Predict X_2 using Z, use fitted X_2 in original model

$$Y = \beta_0 + X_1\beta_1 + \hat{X}_2\beta_2 + e$$

- Properties (of 2SLS)?
  - 2SLS is unbiased
  - 2SLS is consistent
  - 2SLS is asymptotically Normal
  - Under homoskedasticity:
    $Var(\hat{\beta}_{2SLS}) = \sigma^2 \left(E(X'Z)E(Z'Z)^{-1}E(X'Z)\right)^{-1}$
    and it is efficient
  - Weak instruments complicates all of these! $(E(XZ) \to 0)$

* What is "Strong"?
in 1st Stage: · $F > 10$?
· $F > 16$?

* How to interpret result/coefficient $\hat{\beta}_2$ via an IV?
$\Longrightarrow$ those X_2 which are affected by Z: LATE!

Preview: GMM

- Next topic: Generalized Method of Moments (GMM)
- Main idea: We can estimate model parameters using ONLY moment conditions*
- Relaxes strong distributional assumptions and allows both linear and non-linear models
- GMM nests ALL of the estimators you've likely seen so far + more!